

TREASURY AND CORPORATE FINANCE STRATEGIC MEMORANDUM

Ref: TC-FIN-2026-402 | Distribution: Executive Committee & Audit Board

1. EXECUTIVE SUMMARY: LIQUIDITY PROFILE AND WORKING CAPITAL

This memorandum establishes the updated treasury capital forecast for the upcoming fiscal quarters. Consolidated operating cash flow rose 11.2% year-over-year to \$86.4 million, driven primarily by optimized accounts receivable collections and rigorous inventory turnover controls across regional fulfillment centers.

Cash and cash equivalents, including marketable short-term securities, total \$142.8 million. Unutilized capacity under our syndicated revolving credit facility stands at \$75.0 million with a consortium of five tier-one financial institutions, expiring December 2028.

2. CASH CONVERSION CYCLE (CCC) METRICS AND OPTIMIZATION

Days Sales Outstanding (DSO) improved from 48.2 days to 39.5 days following automated invoice dispute workflows. Days Inventory Outstanding (DIO) reduced from 62.1 days to 54.0 days through predictive just-in-time replenishment. Days Payable Outstanding (DPO) was renegotiated to 60.0 days with core tier-1 vendors, generating a net CCC compression of 16.8 days.

3. CAPITAL EXPENDITURE (CAPEX) ALLOCATION AND DISCIPLINE

Total CapEx expenditures for the fiscal year are budgeted at \$38.5 million. Growth CapEx accounts for 68% of expenditures, dedicated to automated warehouse robotics, high-throughput conveyor systems, and enterprise cloud migrations.

Maintenance CapEx is capped at \$12.3 million, strictly audited under our internal hurdle rate requirement of 15% Internal Rate of Return (IRR) with a maximum payback period of 36 months.

4. DEBT MATURITY PROFILE AND INTEREST RATE RISK MANAGEMENT

Our capital structure consists of \$110.0 million in 5.25% senior unsecured notes maturing in 2029 and \$45.0 million in term loan facilities. Currently, 85% of total outstanding debt is fixed or synthetically hedged via floating-to-fixed interest rate swaps at a blended effective cost of capital of 4.88%.

5. TREASURY POLICY DIRECTIVES AND SHAREHOLDER RETURNS

The treasury department recommends the following policy actions for adoption by the Board of Directors:

- Allocate \$25.0 million toward programmatic share repurchase tranches during valuation dips below 12x EV/EBITDA.
- Maintain a permanent liquidity floor of \$60.0 million in unencumbered cash and overnight repo paper.
- Complete refinancing of expiring credit tranches 18 months prior to final maturity dates.
- Maintain net debt-to-adjusted EBITDA leverage below 1.75x across all operating scenarios.
- Implement dynamic cash sweep protocols across subsidiary banking accounts to optimize overnight yield.